HEDGEYE DAILY DIGEST

Sunday, August 23, 2026 (GMT+8) | Covering Friday, August 21st & Thursday, August 20th, 2026 (EDT)

Weekend edition — Hedgeye does not publish Saturday or Sunday, so this digest treats Friday, August 21st as "Today" and Thursday, August 20th as "Yesterday". Keith McCullough went aggressively long into the dip: after a ~2% S&P pullback on decelerating volume he took his long-only book to its maximum 30 positions and widened Real-Time Alerts to 12 longs vs. 1 short — the longest he has been since the "raging Quad 1 or 2" of roughly 2021. The engine is a collapsing U.S. Dollar at post-intervention cycle lows, powering Gold, Euro, Yen, Copper, Silver and now Bitcoin to bullish TREND breakouts, while semis flipped back bullish as KOSPI broke out above 6697 into next week's NVDA catalyst.

TODAY'S PUBLICATIONS — Friday, August 21st, 2026

EARLY LOOK — "A PARABLE OF AN OLD FISHERMAN"

Early Look · Sam Rahman, Portfolio Manager, Hedgeye Asset Management · 08/21/26 07:36 AM EDT

Friday's Early Look was written by **Sam Rahman** rather than Keith McCullough, and it traded macro polemic for something closer to a meditation. Rahman opened on **Norman Maclean's** *A River Runs Through It* and a **1997** fly-fishing trip to **Big Sky, Montana** on the **Gallatin River** — his first vacation after moving to the U.S. The guide, he recounts, stood motionless in the river for a long stretch before making a single delicate cast, and was catching fish within minutes; Rahman, thrashing away with long casts, caught nothing. The next day he made **fewer casts and caught more fish**.

The investment argument sits underneath the story: **markets reward stillness and observation over constant action**. His second and more operationally useful point is about **duration**. Time, he argues, is the investor's unit of measure, and a change in measurement can make an investment decision right, then wrong, and then right again. The same market rising point-to-point over a year can be reached via a fast, volatile path or a slower, smoother one — neither is more correct, but the two demand completely different risk management.

He applies this directly to the live debates: **Is AI spending a bubble?** Will new products justify the capex? How fast does geopolitical upheaval reshape **commodity logistics**? How far could **oil** fall short-term if flows keep leaking through the **Strait of Hormuz**? Rahman's contention is that each of these questions has genuinely strong arguments on both sides, and that **your duration dictates which side matters** at any given moment. Many of today's decisions require holding two opposing thoughts simultaneously.

Investment implication: Fewer, better-timed casts. Let the published Risk Ranges determine entry rather than forcing trades, and be explicit about the duration on which a position is being underwritten.

Risk Range™ Signals — 08/21/26

Asset	Risk Range	TREND
10-Year U.S. Treasury Yield (UST10Y)	4.64 – 4.74	Bullish
High Yield (HYG)	79.41 – 79.83	Bullish
Investment Grade Corp Bonds (LQD)	105.4 – 106.8	Bearish
S&P; 500 (SPX)	7610 – 7835	Bullish
NASDAQ Composite (COMPQ)	25813 – 26798	Bullish
Russell 2000 (RUT)	2976 – 3073	Bullish
Health Care Select Sector (XLV)	168 – 176	Bullish
S&P; 500 Equal Weight (RSP)	219.00 – 225.00	Bullish
Expanded Tech-Software (IGV)	99.00 – 107.00	Bullish
Volatility Index (VIX)	13.90 – 16.54	Bearish
U.S. Dollar Index (USD)	98.24 – 99.91	Bearish
WTI Crude Oil (WTIC)	81.25 – 87.92	Bullish
Natural Gas (NATGAS)	2.62 – 2.91	Bearish
Gold Spot (GOLD)	4322 – 4617	Bullish
Copper Spot (COPPER)	6.46 – 6.70	Bullish
Silver Spot (SILVER)	64 – 71	Bullish

KM'S TOP 3 THINGS — KOSPI / GOLD / VIX

From The Desk · Keith McCullough · 08/21/26 07:09 AM EDT

McCullough led with the line that framed the entire day: **“Big Buying Opportunities in plenty of places yesterday on red.”**

KOSPI. Despite the S&P correcting for the third day in four — and still only **-2% from all-time highs** — on **decelerating volume**, the KOSPI held green *after* breaking out above the Hedgeye TRADE signal level of **6697**. That mattered because it coincided with renewed bullish TRADE and TREND signals across major U.S. semis: **SNDK**, plus **MU** and **MRVL**, which were the two largest positive contributors to the **SPX** on the session.

Gold. The bullish TRADE and TREND breakout extended, with Gold up another **+1.6%** as the **U.S. Dollar** was “smoked” to post-intervention lows. He reiterated **long Gold, Euros and Yen versus a short USD**. Both **Bitcoin** and **Silver** confirmed bullish TREND breakout signals the same morning, while **Dr. Copper** blasted **+1.9%** higher — Hedgeye is long **ICOP**.

VIX. Thursday finally produced “panic-selling by people who don't have our process.” McCullough's read was that **mathematically nothing changed** in the U.S. equity vol regime: **SPX remains in the Investable Bucket** where he aggressively buys dips, **gamma is still positive**, and 1-month realized vol should slice below 3-month realized post monthly **OPEX**. His immediate-term VIX downside of **13.90** would be a new cycle low, and pairs with new all-time SPX highs at **7835**.

THE MACRO SHOW — SUMMARY NOTES & REPLAY

The Macro Show · Keith McCullough & Emma Vlasic · 08/21/26 10:05 AM EDT

Positioning shifted aggressively long. The long-only account hit its **30-position maximum**; Real-Time Alerts went to **12 longs vs. 1 short**. McCullough framed this explicitly as a signal-driven response — Risk Range, volatility and volume — rather than a discretionary market call. The market had corrected only ~**2%**, the vol regime remained **Investable**, and the decline was therefore a systematic opportunity to raise gross and net exposure.

Semis. A major prior concern eased as **KOSPI** reclaimed its immediate-term TRADE breakout and **SanDisk**/DRAM signals returned to bullish TREND. A **KOSPI move above 7,000**, he said, could drive a significant semiconductor move into **Nvidia earnings**.

Gold / FX. Long **Gold**, **Yen**, **Euro**, short **USD** — with the dollar short described as his largest short exposure and the dollar at a new cycle low he attributes to Treasury intervention. Instruction: **do not sell** the Gold/Euro/Yen longs until they reach the tops of their published Risk Ranges. On sizing, he dynamically adds to whichever expression has fallen most and trims the extended one; at showtime the **Euro** was the most overbought of the three. **ICOP** remains the copper-miner exposure; **Silver** is bullish TREND.

Volatility. Financials showed particularly elevated fear — a **77% implied-volatility premium** — and **Capital One (COF)** and **JPMorgan (JPM)** were both bought in Real-Time Alerts, JPM specifically on the open.

International. Philippines (EPHE) was called the clearest Asian buying opportunity of the week, bought twice via Real-Time Alerts and supported by **three consecutive upcoming Quad 1 regimes**. **Long New Zealand (ENZL) / short Qatar (QAT)** was named one of his favourite pairs in the book. **Brazil — important change:** McCullough called it his **biggest macro mistake of the last three months**, cited a roughly **-4%** loss, and said to get out despite attractive Quads, because the signal deteriorated and political problems were developing. **Colombia (COLO)** is a buy-the-dip into another **Quad 2** quarter. **Spain** is the strongest European equity signal, followed by **Greece**; **Germany** also bullish.

New position. JEDI, the Drone & Warfare ETF, was bought this week as a growth expression within military spending.

Crypto. Bitcoin flipped from bearish to bullish TRADE and TREND, attributed partly to the government catalyst. McCullough called Bitcoin “a long” but is **not buying it here** — he prefers assets that are down. **Solana**, **Avalanche** and **XRP** also flagged bullish TRADE/TREND, with no stated position.

Nvidia. Bullish TRADE and TREND into next week's earnings. Risk Range roughly **213** low to **230** upside target, with TRADE and TREND levels near **212** and **205.** No new NVDA position announced.

MOMO TRACKER — MAJOR US SEMIS SNDK, MU AND MRVL LED SPX

Momentum Stock Tracker · Christian Drake & Ryan Ricci · 08/21/26 08:39 AM EDT

Friday's Momentum Stock Tracker is a data dashboard rather than a narrative note, and its headline carries the signal: **SNDK**, **MU** and **MRVL** led the **S&P 500**, confirming the semiconductor momentum reversal McCullough flagged in Top 3 Things. This is a marked change from Thursday's tracker, which recorded the **High Beta Momentum basket collapsing another -7.3% day-over-day**.

SIGNAL STRENGTH STOCKS — 86 STOCKS (1 ADDED, 2 REMOVED)

Signal Strength Stocks · 08/21/26 03:12 PM EDT

Added: CRWD. Removed: LMT, DDOG. The list contracted from **87** to **86** names. Notable that **Lockheed Martin** dropped out in the same week Hedgeye added the **JEDI** drone/warfare ETF — consistent with the Macro Show comment about changing trends within traditional defence and aerospace.

CRYPTO QUANT — BTC (+6.4%)

Bitcoin Trend Tracker · Josh Steiner, Christian Drake, Matthew Cooper · 08/21/26 07:41 AM EDT

BTC +6.4% overnight. The team noted they are on the road this week, so content is limited to **Risk Range updates** — on-chain and ETF flow analysis resumes next week. The move corroborates the bullish TRADE/TREND breakout signal cited in both Top 3 Things and the Macro Show.

ALSO PUBLISHED FRIDAY

Capital Allocation Pro · ETF Pro Plus · From The Desk

Capital Allocation Pro | Daily Dashboard (09:40 AM EDT) — Model Portfolio changes effective at **Wednesday, August 19th** closing prices. TREND and TAIL levels for the **68 ETFs** were last refreshed at **July 31st** closes on the standard 3-4 week cycle.

ETF Pro Plus | UPDATE: 2 New ETF Pro Changes (10:07 AM EDT).

Macro Week Summary Notes | August 21st (05:42 PM EDT) — weekly wrap covering the Macro Dashboard, Weekly Macro Commentary, VIX Gauge, U.S. Monthly Quad Forecast and Chart of the Week. Full content sits behind a separate gated link.

YESTERDAY'S PUBLICATIONS — Thursday, August 20th, 2026

EARLY LOOK — "DOUBLE MAX MACRO!"

Early Look · Keith McCullough · 08/20/26 08:22 AM EDT

What: McCullough's note on the U.S. Treasury going “Double MAX” on the long end — his framing of the government's simultaneous push for lower long-term yields and a weaker Dollar. Epigraph from **Brennan Manning**: *“Although truth is not humility, humility is always truth.”*

Why: He is uninterested in litigating whether the intervention is legitimate — “Call it Yield Curve Control. Call it market manipulation” — and interested only in front-running it. The correlations do the arguing: the **Gold breakout signal (AAAU, GLD)** carries a **-0.93 TRENDING inverse correlation to USD**, and Wednesday's **Bitcoin breakout** immediately picked up a **-0.88 USD TRADE inverse correlation**. He is pointed about **Michael Saylor** needing the U.S. Treasury to bail out his thesis, and titles the day “The Government Saved Bitcoin.”

Who / What's on: Long **Gold**, long **Euros**, long **Yens** — all three flagged as immediate-term TRADE **overbought** within bullish TRENDs. Short **U.S. Dollar (UUP)**. Core long **Healthcare (XLV)**.

Key numbers: UST 2yr broke TRADE support weeks ago; **UST 10yr** remains bullish TRADE and TREND at a **4.63–4.74%** Risk Range; the **10s-2s curve** sat **+50bps** wide. The August **Hedgeye Inflation Nowcast** points to headline **CPI of +3.48% y/y** — **+1bp** above the prior 08/13 estimate and **+12bps of sequential acceleration** versus the slowdown the government reported for July, with Middle East energy disruption headlines driving the volatility. The **most-consensus-short Healthcare basket ramped +6.4%**, and **XLV rose +3.5%** — one of its best days ever versus **XLK**.

Takeaway: A weaker Dollar alone is not enough for the Treasury's objective; it also needs a **steepening yield curve**, and an accelerating August CPI print would help deliver it. Consensus hedge funds were on the wrong side of both legs.

THE MACRO SHOW — SUMMARY NOTES & REPLAY

The Macro Show · RPK & Sam Rahman · 08/20/26 10:12 AM EDT

What: A show centred on the Dollar as “the linchpin” beneath all current market action.

Why: RPK's global dollar-liquidity measure has accelerated because a weaker dollar raises purchasing power outside the U.S. The dollar had fallen more than **1% in roughly two days** and about **2.5% quarter-to-date** — a large move by FX standards. On rates, Treasury's increased buyback pushed 10s and 30s lower temporarily, but **the 2-year barely moved**, and by later in the show much of the long-end rally had already reversed. RPK's view: without **Fed balance-sheet participation**, Treasury alone cannot durably control the curve, which makes **Jackson Hole** primarily an evidence-gathering event on Fed willingness to cooperate.

Who — key position changes: Energy flipped bullish, the clearest strategic change, on resource constraints, falling inventories, tightening diesel, geopolitical disruption and further upside if the dollar keeps weakening. Energy is quietly the **strongest-performing sector year-to-date**. Sam cautioned against chasing crude after the spike and favours **refiners and oilfield services**, where the case does not require crude to rise indefinitely. **Some XLV was trimmed, not exited**, into a ~**+3.5%** day against the **High Beta Momentum basket -7.3%**; the catalyst was the **Moderna/Merck Phase III multiple-myeloma** study, which forced major short covering in Healthcare. The **Utilities (XLU) short was partially covered** on the rates move.

Key numbers: EUR/USD long becoming overbought around **1.171**; USD Index becoming immediate-term oversold; **Gold +~4%** on the dollar move with gold miners up high-single to low-double digits; **XLU -2.9% QTD** versus **XLV +10.7% QTD**.

Takeaway: Current regime is **Monthly Quad 3** with the model forecasting a move toward **Monthly Quad 1** next month — a forecast, not a completed transition. Tactical instruction: **use volatility rather than chase it** — if VIX stays beneath the top of its Risk Range, look for Signal Strength names trading near the low ends of their ranges. Much of the violent tape — surging most-shorted names alongside liquidated momentum longs — reflects **forced deleveraging mechanics rather than fundamental information**, with month-end a natural potential endpoint.

MOMO TRACKER — HIGH BETA MO BASKET -7.3% DoD, XLK -1.1% DoD

Momentum Stock Tracker · 08/20/26 07:23 AM EDT

What: The momentum unwind in numbers. **Why:** A second consecutive day of violent de-grossing in crowded momentum longs. **Key numbers:** High Beta Momentum basket **-7.3% day-over-day**; Widely Held Tech (**XLK**) **-1.1% DoD**. **Takeaway:** The divergence between a modest tech drawdown and a collapsing high-beta basket is the signature of portfolio mechanics, not a macro repricing — and it set up Friday's buy-the-dip.

SIGNAL STRENGTH STOCKS — 87 STOCKS (3 ADDED, 6 REMOVED)

Signal Strength Stocks · 08/20/26 03:44 PM EDT

Added: HLT, WRBY, NOW. Removed: FCFS, SITM, BA, PRMB, HD, NBIS. The list shrank from **90** to **87** names. **Boeing** and **Home Depot** dropping out, alongside **Nebius**, is consistent with the liquidation dynamics described on the Macro Show.

ALSO PUBLISHED THURSDAY

Capital Allocation Pro · ETF Pro Plus · Bitcoin Trend Tracker

Capital Allocation Pro | Daily Dashboard (08:18 AM EDT); **ETF Pro Plus | UPDATE: 1 New ETF Pro Change** (09:50 AM EDT); **Crypto Quant | BTC (+4.0%)** (08:37 AM EDT).